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August 10, 2026.

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Bank of Japan

Summary of Opinions at the Monetary Policy Meeting^{1,2} on July 30 and 31, 2026

I. Opinions on Economic and Financial Developments

Economic Developments

- Japan's economy has recovered moderately, although some weakness has been seen in part, partly due to the impact of the situation in the Middle East. In fiscal 2026, although the rise in crude oil prices is expected to push down economic activity, Japan's economy is expected to continue growing moderately, albeit at a decelerated rate, supported by factors such as global AI-related demand and various government measures. From fiscal 2027 onward, Japan's economic growth rate is likely to rise moderately, since it is projected that the adverse effects of high crude oil prices will wane.
- With the economy experiencing an upswing driven by the demand shock from the global expansion in AI-related demand, the deterioration in the terms of trade reflecting higher crude oil prices has been mitigated, and concerns over an economic slowdown have subsided.
- For economic activity, the situation in the Middle East exerts downward pressure, the expansion in AI-related demand exerts upward pressure, and the depreciation of the yen works in both directions.
- As recent reports at the meeting of general managers of the Bank's branches suggested, AI-related demand has spread to a greater extent than expected, and private consumption has shown resilience, as seen, for example, in strong sales of high-end products reflecting the wealth effects from higher stock prices.

¹ English translation prepared by the Bank's staff based on the Japanese original.

² "Summary of Opinions at the Monetary Policy Meeting" is made through the following process: (1) each Policy Board member and government representative makes a summary of opinions that she/he presented at the Monetary Policy Meeting (MPM) under a certain word limit and submits this to the Governor of the Bank of Japan, who serves as the chairman of the MPM, and (2) the chairman edits those opinions as his responsibility.